

Written Memo

Dear Mrs.Holt, after doing some research into the rising costs that are occurring from the employee turnover of the company. My research has revealed that several critical factors of employee retention like salary, hours worked, satisfaction and work life balance have shown to be the most significant drivers of the rising costs, however, more factors are to be further researched for their impact. From the report below I will outline the findings and my recommendations of how to remedy the situation.

There are two factors that seem to be far and away the most important factors in this problem with the first being job satisfaction.



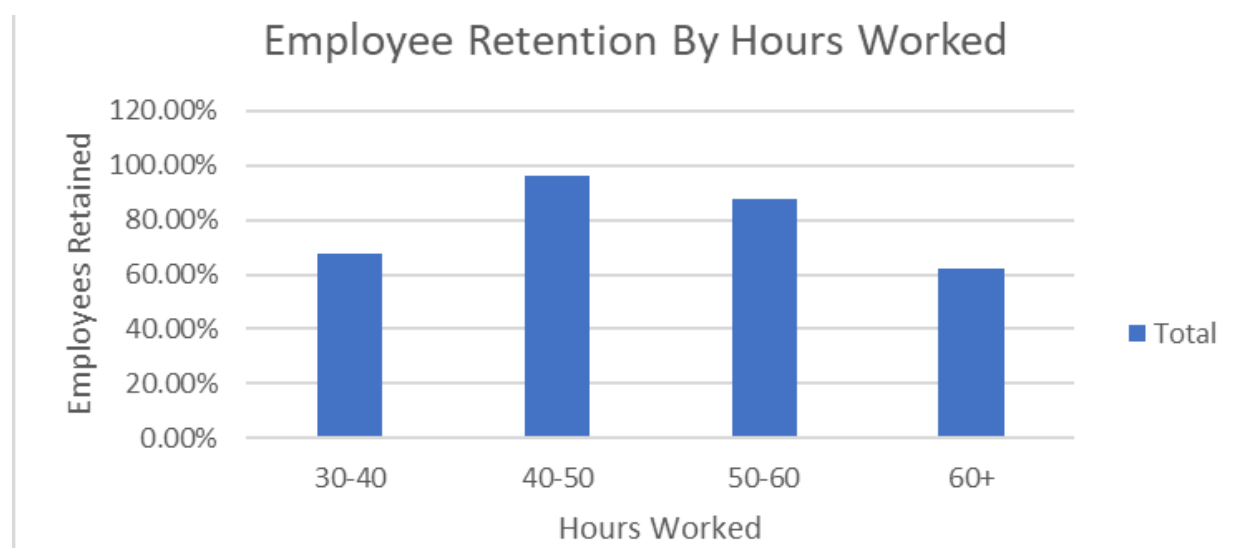
This chart, although it may be a bit counterintuitive with the high and medium levels, It shows the dramatic drop in retention of employees from the high and medium satisfaction levels, to the low and very low levels. The higher two levels are a range of 83-95%, whilst the lower two are 42-47%, this represents our biggest issue, of over half of the dissatisfied employees leaving the company.

The next chart to look at is the retention by salary chart.



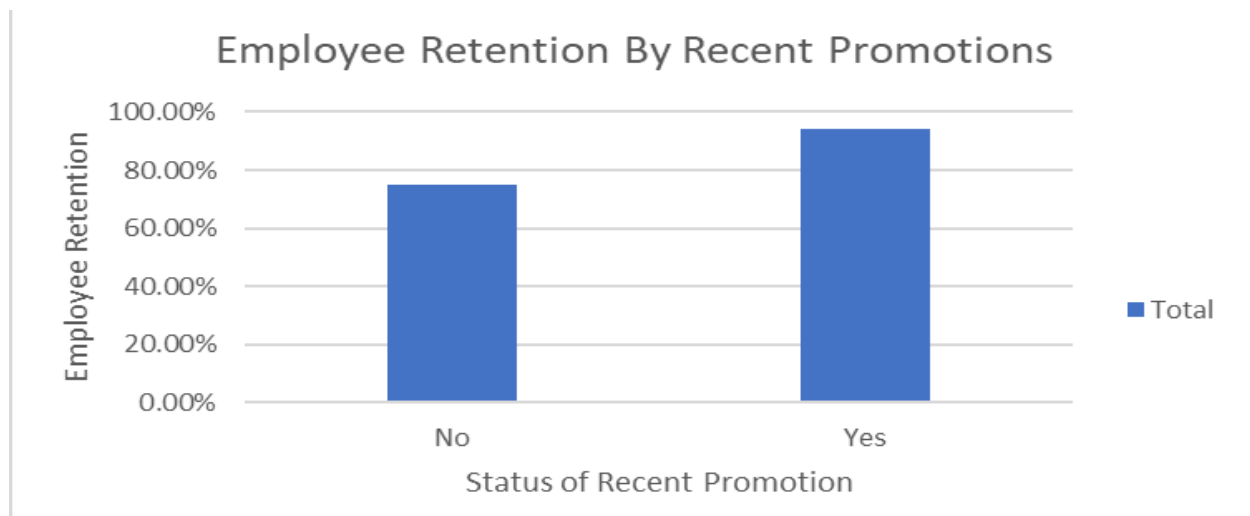
The chart above shows that there is a direct relationship between the amount of pay vs employees staying at our company, the range of low to high is from 68-93% shows a 25 point difference, while paying the employees more would retain more of them, the 7 percent of the highly paid employees still leave, this shows that its not our only concern.

The next chart shows the relationship between hours worked and retention



This chart shows that our employees working over 60 hours are experiencing a burnout at our company, and that the most ideal working hours are between 40-50 per week, which has a retention rate of 97%. We should enforce no more overtime and cap workers at 50 hours. Interestingly, between 30-40 hours has a very low retention rate, at just 67%, this could be employees that are checking out and preparing to leave the company.

This last chart is the relationship between recent promotions and employee retention,



This chart shows that the more recent employees receive a promotion, the more inclined they would be to stay, as 14% more employees leave the company when they have not been promoted recently.

Based on the charts above, I have determined that the three biggest causes of the employee turnover are our poor ways of keeping our workforce satisfied, compensation, and allowing our employees to have a good work life balance.

My recommendation of action would be to move forward with more employee evaluations to start, then re-benchmark our employees and find more fitting salaries, then we will remove overtime and force employees to take more mental health days, and have more incentives to reduce burnout.